A State-of-the-Art Survey of International Political Economy

Theory, Method, and Contemporary Debates

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Abstract

International Political Economy (IPE) occupies a critical intellectual space at the intersection of economics, political science, sociology, and history. This survey examines the field's foundational paradigms, methodological evolution, and contemporary frontiers. It traces IPE from its emergence as a formal discipline in the early 1970s through its current engagement with financialisation, global value chains, technological competition, climate governance, and the crisis of liberal internationalism. The survey maps the key theoretical traditions—liberal institutionalism, mercantilism/economic nationalism, Marxist and critical political economy, constructivism, and feminist IPE—while assessing empirical advances and unresolved debates. Particular attention is paid to the transatlantic divide between American and British schools, ongoing methodological controversies, and the substantive domains of trade, finance, development, and global governance. The survey concludes by identifying emerging research agendas—including the US–China rivalry, financialisation, digital political economy, and the green transition—likely to define the field in the coming decade.

The survey ends with "The End"

Keywords: international political economy, hegemonic stability, globalization, trade, international finance, development, economic statecraft, financialisation, climate governance.

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1 Introduction: What Is International Political Economy?

International Political Economy is the study of how political and economic forces interact across national borders to shape the organisation of global economic life. At its core, IPE asks: Who gets what in the world economy? Who decides? By what rules? And with what consequences for power, welfare, and justice?

The field refuses the analytical separation of "markets" from "politics" that characterises mainstream economics and, to a lesser extent, traditional international relations (IR). Where neoclassical economics treats markets as spontaneous, self-regulating mechanisms, and where realist IR treats states as power-maximising units in an anarchic system, IPE insists on the constitutive relationship between political authority and economic exchange. Markets are politically constructed. States are economically conditioned. Neither can be understood in isolation from the other.

Susan Strange [58] captured this duality in her concept of *structural power*—the capacity to shape the frameworks within which others must operate—as distinct from *relational power*, the ability to get others to do what they would not otherwise do. For Strange, the United States exercised structural power through its control of credit, production, security, and knowledge structures, a framing that continues to animate debate about American hegemony and its possible decline.

Robert Gilpin [25] offered a complementary but differently inflected definition: IPE concerns "the reciprocal and dynamic interaction in international relations of the pursuit of wealth and the pursuit of power." For Gilpin, the tension between state power and market efficiency was irreducible—a permanent feature of modern world politics.

More recent scholars have broadened the definition further. For Jennifer Sterling-Folker [56], IPE must account not only for states and markets but for the complex web of non-state actors—multinational corporations, international organisations, civil society, and financial institutions—that now shape global economic governance. For feminist IPE scholars such as Spike Peterson [50], the field must also reckon with the gendered structures of global production and reproduction that conventional frameworks render invisible.

1.1 Why IPE Matters Now

The contemporary moment makes IPE more urgently relevant than at any point since the field's founding. Several converging developments have shattered the post-Cold War consensus:

- **The return of great-power competition**, particularly the Sino-American rivalry, has revived questions about hegemonic stability, economic statecraft, and the weaponisation of interdependence.
- **The 2008 Global Financial Crisis** exposed the fragility of financialised capitalism and prompted a fundamental reassessment of financial globalisation's benefits and governance.

- **Technological disruption**, including the rise of digital platforms, artificial intelligence, and semiconductor geopolitics, has created new vectors of economic competition and interdependence.
- **Climate change** presents the deepest structural challenge to the global political economy, requiring coordination on a scale unprecedented in human history.
- **The COVID-19 pandemic** revealed the vulnerabilities of globally integrated supply chains and stimulated a reassertion of industrial policy and economic nationalism.
- **The populist backlash** against globalisation in both advanced and developing economies has challenged the legitimacy of liberal international economic institutions.

Together, these developments have stimulated an extraordinary burst of IPE scholarship, generating new theoretical frameworks, empirical investigations, and policy debates.

2 Historical Origins and Intellectual Foundations

2.1 Pre-Disciplinary Foundations

IPE as a formal academic discipline is relatively young—dating to the early 1970s—but its intellectual lineages are ancient. Any comprehensive account must acknowledge several foundational traditions.

Mercantilism (16th–18th centuries) represented the first systematic attempt to theorise the relationship between wealth and power. For Colbert, Mun, and other mercantilist thinkers, national wealth was instrumental to state power, and trade policy was an instrument of political strategy. The mercantilist insight—that states pursue relative, not just absolute, gains—has never been fully dislodged and resurfaces periodically in debates about industrial policy and strategic trade.

Classical Liberalism emerged as a critique of mercantilism. Adam Smith's *Wealth of Nations* (1776) and David Ricardo's theory of comparative advantage (1817) argued that free trade produced mutual gains, making conflict over commerce irrational. Liberal political economy underwrote the first great wave of globalisation in the 19th century and, after the Second World War, the construction of the Bretton Woods order.

Marxist Political Economy offered a fundamentally different critique. For Marx, Ricardo, and their successors, the question was not how markets could be made to work more efficiently, but rather whose interests markets served and through what structures of exploitation. Lenin's *Imperialism: The Highest Stage of Capitalism* (1917) linked capitalist accumulation to inter-imperial rivalry, providing a theoretical framework that influenced dependency theory and world-systems analysis in the 20th century.

The German Historical School, associated with Friedrich List and later Max Weber, emphasised the historically and institutionally specific character of economic development. List's theory of "infant-industry protection" in *The National System of Political Economy* (1841) challenged Ricardian universalism and provided intellectual ammunition for developmental states across the Global South [40].

Keynesian Economics, developed in the wake of the Great Depression, reasserted the necessity of political management of market economies. For Keynes, markets were not self-equilibrating, and state intervention was not only permissible but necessary to maintain full employment and prevent the kind of economic catastrophe that had produced fascism and war.

2.2 The Founding Moment: The 1970s

IPE as a recognised field emerged in the early 1970s, catalysed by several concurrent developments that shattered the post-war settlement:

1. **The Nixon Shock (1971):** President Nixon's unilateral suspension of dollar–gold convertibility ended the Bretton Woods system of fixed exchange rates, demonstrating that the international monetary order was a political construction subject to revision by hegemonic power.
2. **The OPEC Oil Embargo (1973):** The ability of oil-exporting states to weaponise commodity exports against industrialised importers revealed the political dimensions of economic interdependence in ways that mainstream IR theory was ill-equipped to explain.
3. **The North–South Conflict:** The demands of developing countries for a New International Economic Order (NIEO) challenged the liberal framework and placed questions of global distribution on the agenda.

4. **The relative decline of American hegemony:** Challenges to American economic dominance raised questions about the relationship between political leadership and economic order.

These developments created intellectual space for a new field. Keohane and Nye's *Power and Interdependence* [34] and Kindleberger's *The World in Depression* [36] were foundational texts, as was Strange's work on sterling and international monetary power [57]. In Britain, scholars like Strange, Roger Tooze, and Craig Murphy pioneered an explicitly critical approach that challenged American IR's state-centric and positivist assumptions.

2.3 The Bretton Woods Intellectual Legacy

The institutional architecture of the post-war international economy—the International Monetary Fund (IMF), the World Bank, and what became the General Agreement on Tariffs and Trade (GATT)/World Trade Organisation (WTO)—embodied what John Ruggie [55] famously called *embedded liberalism*: a compromise between market openness internationally and social protection domestically. This compromise, Ruggie argued, was what made the post-war economic order politically sustainable in ways that the gold standard had not been.

The concept of embedded liberalism has proven extraordinarily productive in IPE, framing debates about the social foundations of international economic institutions, the conditions under which globalisation is politically sustainable, and the consequences of dismantling the domestic welfare state in the name of market efficiency.

3 Major Theoretical Paradigms

3.1 Liberal Institutionalism

Liberal IPE begins with the premise that economic interdependence transforms incentives in ways that privilege cooperation over conflict. States recognise that mutual gains from trade, investment, and financial integration create common interests that can be institutionalised.

Hegemonic Stability Theory (HST), developed by Kindleberger [36] and formalised by Gilpin [24], argued that open international economic orders require a hegemonic power willing and able to supply public goods: a reserve currency, last-resort lending, and open markets. Without such a hegemon, free-riding produces undersupply of international public goods and, ultimately, economic closure.

Neoliberal Institutionalism, associated primarily with Robert Keohane [35], argued that international institutions could sustain cooperation even in the absence of hegemony. *After Hegemony* made the case that institutions reduced transaction costs, provided information, and created reputational stakes that enabled states to escape prisoner's-dilemma situations.

Domestic Politics Liberalism, associated with Andrew Moravcsik's liberal theory of international relations [46], argued that the key explanatory variables were not the nature of the international system but the preferences of domestic social actors. Foreign economic policy reflected the interests of dominant coalitions of producers, consumers, and investors.

New Open Economy Macroeconomics brought formal modelling tools from economics to bear on questions of exchange-rate determination, monetary-policy coordination, and the macroeconomic consequences of financial integration [47].

3.2 Realism and Economic Nationalism

Realist IPE takes the anarchic structure of the international system as its starting point. In anarchy, states cannot trust that the gains from cooperation will be distributed in ways that preserve their relative position, so they pursue relative gains, not just absolute gains, and are willing to sacrifice efficiency for security.

Relative Gains Theory [26] generated substantial empirical debate in the 1990s. Grieco argued that states were "positional"—they cared about their economic standing relative to rivals—meaning that the prospects for international economic cooperation were more limited than liberal institutionalists claimed.

Geoeconomics argues that states increasingly use economic instruments—trade restrictions, investment screening, technology controls, and financial sanctions—to pursue geopolitical objectives. Farrell and Newman's *weaponised interdependence* framework [17] has been particularly influential. They argue that the network structure of global finance and digital communications creates "chokepoints"—nodes

through which information or capital must pass—that dominant states can exploit for surveillance or coercion.

3.3 Marxist and Critical Political Economy

Marxist and critical approaches share a commitment to understanding IPE as a system of structured inequality, in which the organisation of global economic relations reflects and reproduces power hierarchies.

World-Systems Theory, developed by Immanuel Wallerstein [61] and associated scholars including Giovanni Arrighi, argues that capitalism has operated as a single world-system since the 16th century, organised around a structural division between core, semi-periphery, and periphery. Arrighi's *The Long Twentieth Century* [2] extended this framework to identify "systemic cycles of accumulation," each organised around a dominant state–capital nexus.

Dependency Theory, developed by Raúl Prebisch, André Gunder Frank [20], and Cardoso and Faletto among others, argued that the integration of developing countries into the world economy perpetuated underdevelopment rather than producing catch-up growth. Core countries and their corporations captured the gains from trade and investment, locking peripheral countries into primary-commodity export dependence and deteriorating terms of trade.

Gramscian IPE, associated with Robert Cox [12, 13] and Stephen Gill [23], draws on Gramsci's concepts of hegemony, historic bloc, and counter-hegemony. For Cox, hegemony in international relations was not simply a matter of material power but of ideological consent. Gill's work on "disciplinary neoliberalism" and "new constitutionalism" argued that the institutional architecture of global economic governance served to "lock in" market discipline, constraining democratic governments' ability to pursue redistributive or developmental policies.

Regulation Theory, developed by French economists including Aglietta, Boyer, and Lipietz, focused on the historically specific institutional forms—"regimes of accumulation" and "modes of regulation"—that stabilised capitalist accumulation in different periods.

Varieties of Capitalism (VoC), developed by Hall and Soskice [29], identified "liberal market economies" (LMEs) and "coordinated market economies" (CMEs) as distinct, coherent institutional configurations. LMEs relied on market mechanisms for coordination; CMEs used non-market institutions—employer associations, works councils, patient capital—to achieve coordination.

3.4 Constructivism

Constructivist IPE argues that interests and identities are not exogenously given but are socially constructed through ideational processes. Ideas, norms, and discourse constitute the actors, interests, and institutions of the global political economy.

Ideational approaches have generated important research on the role of economic ideas in shaping policy. Blyth's *Great Transformations* [6] argued that economic crises were ideologically "blank slates" whose meaning and policy implications were determined by contending ideational frameworks.

Epistemic communities [27] and **transnational advocacy networks** [33] highlighted the role of knowledge-based communities and normative networks in shaping international policy agendas.

3.5 Feminist IPE

Feminist IPE emerged in the late 1980s and 1990s as a fundamental critique of the gender-blindness of mainstream approaches. Scholars including Cynthia Enloe [15], Christine Sylvester, Spike Peterson [50], and Marianne Marchand [43] argued that international economic processes were deeply gendered in ways that conventional frameworks systematically obscured.

Peterson's work on the "reproductive economy" argued for expanding the scope of IPE to include non-market labour—domestic work, care work, subsistence agriculture—that was disproportionately performed by women and that provided the social-reproduction foundations on which market economies depended. More recent feminist IPE has engaged with questions of financialisation, global care chains, and the gendered dimensions of trade agreements.

3.6 Post-Colonial and Southern Perspectives

A significant and growing body of scholarship challenges the Eurocentric assumptions of mainstream IPE, arguing that the discipline's categories and questions reflect the perspective of the Global North in ways that distort understanding of the broader global political economy. Post-colonial IPE interrogates how

colonial histories continue to structure contemporary economic relations and how the discipline has been complicit in legitimating those structures. Southern perspectives call for greater attention to the agency and perspectives of actors in the Global South, challenging the tendency of mainstream IPE to treat developing countries primarily as objects of great-power competition.

4 The Transatlantic Divide: American vs. British Schools

One of the most discussed fault lines in IPE runs between the American and British (or more broadly, "heterodox") schools, a divide articulated most sharply by Benjamin Cohen [11] and contested by numerous respondents.

4.1 The American School

American IPE is predominantly positivist in epistemology, rationalist in ontology, and increasingly formal and quantitative in method. It is oriented toward mid-range theory—testable hypotheses about specific relationships—rather than grand theory. It takes states and their preferences as its primary units of analysis and asks how domestic political institutions mediate between societal interests and foreign economic policy. Key research programmes include the political economy of trade protection, exchange-rate politics, economic sanctions, and international financial regulation.

4.2 The British and Heterodox School

British IPE, associated with scholars like Strange, Cox, Murphy, and their intellectual heirs, has been more pluralist in epistemology, more structural and historical in orientation, and more attentive to questions of power, ideology, and the reproduction of inequality. Strange's critique of American IPE was especially sharp: it was parochial, methodologically constrained, and normatively blinkered, asking "how?" questions rather than "who benefits?" questions.

4.3 Beyond the Divide

Subsequent scholarship has questioned whether the American/British distinction remains the most useful organising frame. The globalisation of the discipline has brought perspectives from Asia, Latin America, and Africa that do not map neatly onto the transatlantic divide. Methodological pluralism has become more widely accepted, with many scholars combining qualitative and quantitative methods [38]. Nevertheless, important epistemological and normative differences persist.

5 Methodological Debates

5.1 Quantitative Methods

The quantitative revolution in American political science has profoundly shaped IPE. Gravity models of trade have been extensively applied to examine how political relationships affect bilateral trade flows. Event-study methods examine financial-market reactions to political events. Survey experiments have been used to examine public opinion on trade and globalisation [42, 28]. Autor, Dorn, and Hanson's [3] study of the "China shock" is a paradigmatic example of the natural-experiment approach, using variation in Chinese import penetration across US commuting zones to identify local labour-market effects of trade liberalisation. Machine learning and computational text analysis are increasingly used to analyse large textual datasets for ideational content.

5.2 Qualitative Methods

Qualitative methods—including historical case studies, process tracing, comparative historical analysis, and ethnography—remain central to IPE. Process tracing [5] has been developed as a rigorous method for testing causal mechanisms within cases. Comparative historical analysis [41] examines variation across a limited number of cases over time, identifying the conjunctural causal configurations that produce different development outcomes. Discourse analysis and interpretive methods are used in constructivist and post-structuralist IPE to examine how meaning is constructed and how policy discourses operate.

5.3 Mixed Methods and Pluralism

There is growing recognition that the most productive IPE scholarship often combines quantitative and qualitative methods. Quantitative methods are powerful for establishing the existence and magnitude of causal effects across large populations; qualitative methods are more suited to identifying causal mechanisms, recovering context sensitivity, and generating theory. The methodological "toolkit" approach [38] argues against orthodoxy in either direction: the appropriate method depends on the question being asked.

6 Core Substantive Domains

6.1 International Trade

Who supports free trade? The foundational theoretical frameworks are derived from trade economics. The Stolper–Samuelson theorem predicts that trade liberalisation benefits the abundant factor and harms the scarce factor. The Ricardo–Viner (specific factors) model predicts industry-level rather than factor-level cleavages. Hiscox [31] found that the dominant cleavage shifted between factor-based and industry-based as factor mobility changed. The "China shock" literature [3] demonstrated that import competition from China had severe and geographically concentrated effects on American manufacturing employment, with minimal offset from reallocation to other sectors—a finding that profoundly affected both the politics of trade and the welfare calculus of trade policy.

Preferential Trade Agreements (PTAs): The proliferation of bilateral and regional PTAs since the 1990s has generated extensive IPE research on their formation, their effects on excluded third parties, and whether they serve as building blocks or stumbling blocks for multilateral liberalisation.

WTO and multilateral trade governance: The failure of the Doha Development Round and the growing paralysis of the WTO Appellate Body have raised fundamental questions about the future of multilateral trade governance.

6.2 International Finance and Monetary Relations

Exchange-rate politics: Frieden's [21] influential framework argued that exchange-rate preferences depended on the sectoral composition of economic interests: internationally mobile capital preferred stability; export manufacturers preferred competitive devaluation.

Capital-account liberalisation: The liberalisation of capital accounts in the 1980s and 1990s, encouraged by the IMF and the US Treasury, generated extensive IPE research. The Asian Financial Crisis (1997–98) was a watershed; IMF conditionality requiring contractionary fiscal policies in the midst of crisis was widely criticised as counterproductive [10].

The Global Financial Crisis (2008–09): The GFC was the most significant event in the global political economy since the 1970s. Blyth's *Austerity* [7] argued that the subsequent turn to fiscal consolidation in Europe and elsewhere reflected not economic necessity but ideological choice. Helene Rey's [51] challenge to the monetary-policy trilemma—arguing that dominant dollar liquidity constrains even flexible exchange rate regimes—has stimulated substantial debate.

Shadow banking and financialisation: The GFC revealed the systemic importance of the shadow banking sector. Research has examined why regulatory frameworks consistently lagged behind financial innovation, the role of financial-industry lobbying, and the challenges of cross-national regulatory coordination. The concentration of share ownership in large passive investment funds has attracted growing attention under the rubric of "asset manager capitalism" [8, 19].

6.3 Development and Global Political Economy

Developmental states: The developmental-state literature, associated with Chalmers Johnson's analysis of MITI [32], Amsden's work on South Korea [1], Wade's examination of Taiwan [60], and Evans's "embedded autonomy" framework [16], argued that successful late industrialisation required an activist state with the capacity to coordinate investment, manage technology transfer, and discipline rents.

Washington Consensus and its critics: Rodrik [52] argued that institutional quality mattered more than liberalisation per se, and that appropriate institutions were context-dependent. His concept of "policy space" became central to post-Washington Consensus development debates.

Global value chains (GVCs): Gereffi's work on GVC governance [22] identified the conditions under which developing country firms could "upgrade" within chains. More recent research has complicated

the optimistic "trade as development" narrative: GVC participation does not automatically produce industrial upgrading; value capture is highly concentrated at nodes of intellectual property and platform control.

6.4 Global Governance and International Institutions

Regime theory: The concept of "international regimes" [37] became a central organising concept in IPE, with research examining the conditions under which regimes formed, how they affected state behaviour, and why they sometimes persisted even when the underlying power configuration changed.

International organisations as bureaucracies: Barnett and Finnemore's [4] analysis of international organisations as bureaucracies with their own interests and dysfunctions challenged the view of IOs as merely reflecting member-state preferences.

The crisis of multilateralism: The 2010s witnessed a significant weakening of multilateral institutions. The paralysis of WTO, US withdrawal from key agreements, and the rise of bilateral and minilateral alternatives raised fundamental questions about the future of global economic governance. Research on the G20 as the premier forum for global economic coordination has examined the effectiveness of its commitments and its exclusion of non-member states.

7 Contemporary Challenges and Emerging Agendas

7.1 Financialisation

The concept of *financialisation*—the increasing role of financial motives, financial markets, financial actors, and financial institutions in the operation of domestic and international economies—has become one of the central organising frameworks in heterodox IPE. Research has examined the rise of shareholder value orientation and its effects on corporate investment and wages [39]; the financialisation of households through the expansion of mortgage credit and consumer debt; and rising income and wealth inequality attributable in part to capital gains and the relative decline of labour income.

7.2 Technology and the Digital Political Economy

The dominance of American and Chinese digital platforms has created a new dimension of techno-economic competition. Platforms capture value through network effects, data accumulation, and control of digital infrastructure in ways that are poorly captured by conventional trade and investment frameworks. The semiconductor supply chain—dominated by TSMC's foundry business, ASML's lithography equipment, and American design firms—has become a focal point of US–China strategic competition, with the US *CHIPS and Science Act* (2022) and sweeping export controls representing a dramatic departure from the liberal trade consensus. The development of central-bank digital currencies (CBDCs) and debates about dollar digitisation raise further questions about the future of the international monetary system.

7.3 Climate Change and the Green Political Economy

Climate change presents the most profound structural challenge to the global political economy since the Industrial Revolution. The collective-action problem is acute: greenhouse-gas emissions impose global externalities, but the costs of mitigation are national and concentrated. The EU's Carbon Border Adjustment Mechanism (CBAM), the US Inflation Reduction Act (IRA, 2022), and Chinese industrial policy in electric vehicles and solar panels represent a "race to the top" in green industrial policy whose welfare implications, WTO consistency, and geopolitical consequences are actively debated. The distributional implications of the energy transition—for fossil-fuel workers, fossil-fuel-dependent communities, and fossil-fuel-exporting developing countries—constitute the "just transition" agenda at the frontier of IPE research.

7.4 Global Inequality and Redistribution

Milanovic's "Elephant Chart" [45] showed that the gains from globalisation accrued primarily to the global middle class (concentrated in Asia) and the global rich, while working and middle classes in advanced economies experienced stagnation—a distributional pattern that helps explain the populist backlash against globalisation. Zucman's research on offshore wealth [63] estimated that approximately ten per

cent of global financial wealth was held in tax havens, representing a massive loss of tax revenue that disproportionately disadvantaged developing countries. The OECD/G20 global minimum corporate-tax agreement (Pillar Two, 2021) represents an attempt to limit profit shifting, though its implementation and effectiveness remain contested.

7.5 Populism, Nationalism, and the Backlash Against Globalisation

The rise of populist and nationalist movements has been attributed in part to the distributional and cultural dislocations of globalisation. A lively debate contrasts economic grievance—globalisation-induced job and income loss [54, 3]—with cultural anxiety—status threat to traditional identities. Most scholars now accept that both dimensions are relevant and interact. The revival of industrial policy in the US, EU, and elsewhere represents a significant departure from the Washington Consensus and raises questions about welfare implications and consistency with international trade rules.

7.6 The International Monetary System and Dollar Hegemony

The dollar's role as the world's dominant reserve currency and the implications of this dominance for global economic governance remain central preoccupations. The use of the dollar-based SWIFT system and correspondent banking relationships as instruments of financial coercion—most dramatically against Iran and Russia—has stimulated accelerated efforts to develop alternative payment systems [18]. China's efforts to internationalise the renminbi have been only partially successful, constrained by capital controls and the relative underdevelopment of Chinese financial markets. Eichengreen's [14] analysis of the dollar's international role and the conditions under which alternatives might emerge has been widely influential.

8 Synthesis and Future Directions

8.1 Theoretical Synthesis

After five decades of theoretical development, IPE has not converged on a single paradigm. Debates among liberals, realists, Marxists, constructivists, and feminists continue, and there is little prospect of resolution. However, several synthetic themes have emerged across traditions. First, all major traditions now accept the impossibility of separating political and economic analysis. Second, institutions— domestic and international—are recognised as crucial mediating variables between structural conditions and policy outcomes. Third, the role of ideas, ideologies, and epistemic frameworks in shaping economic policy has gained increasing recognition. Fourth, questions about who wins and who loses from particular arrangements of the global political economy have moved from the margins to the centre of the field, driven by the empirical reality of rising inequality and the political mobilisation of distributional grievances.

8.2 Emerging Research Frontiers

Several research frontiers are likely to define IPE in the coming decade:

- **The political economy of strategic rivalry:** As the US–China rivalry intensifies, research on economic statecraft, the politics of decoupling, and the governance of dual-use technologies will proliferate. The challenge is to develop frameworks that can analyse economic and security dimensions simultaneously.
- **Climate and the political economy of transition:** Research is needed on the politics of green industrial policy, carbon pricing, climate finance, and just transition, as well as the geopolitics of critical minerals and renewable energy.
- **Digital governance and data:** The political economy of digital platforms, AI governance, and data regulation is in its infancy. Research needs to examine how the distribution of digital value is politically determined and contested.
- **Global financial architecture reform:** The inadequacy of existing institutions for managing sovereign debt crises and mobilising climate finance is increasingly evident.
- **Southern and non-Western perspectives:** IPE needs continued engagement with scholarship from and about the Global South, incorporating perspectives that challenge Northern-centric assumptions.

- **Methodological innovation:** The use of machine learning for analysing large textual datasets, network analysis for examining global economic interdependencies, and experimental methods for studying IPE questions will continue to expand the methodological frontier.

8.3 Normative Challenges

IPE has always had normative dimensions, even when these were implicit. The post-war liberal order rested on normative commitments—to economic openness, multilateral governance, and embedded liberalism—that are now contested. The field faces important questions: What, if anything, should replace the liberal international economic order? How should the costs and benefits of economic integration be distributed globally? What are the obligations of rich countries to poorer countries in the domains of climate, debt, and trade? These normative questions cannot be resolved by empirical research alone, but empirical research is indispensable to their analysis. The challenge for IPE is to maintain the analytical standards that make its empirical contributions credible while engaging honestly with the normative stakes of its subject matter.

9 Conclusion

This survey has mapped the intellectual terrain of International Political Economy from its founding moment in the early 1970s to the contemporary frontiers of the field. Several conclusions stand out. First, theoretical pluralism is a permanent feature of IPE, reflecting genuine disagreements about ontology, epistemology, and normative commitments that cannot be resolved by empirical research alone. Second, methodological diversity—quantitative, qualitative, and mixed—is a strength of the field, provided that method is chosen to fit the question rather than the reverse. Third, the substantive agenda of IPE is expanding rapidly in response to the convergent crises of the contemporary global political economy: the erosion of the liberal order, the rise of techno-economic nationalism, the climate emergency, and deepening global inequality. Fourth, the field must engage more seriously with perspectives from the Global South and with the gendered and racialised structures of the world economy if it is to fulfil its analytical and normative ambitions. International Political Economy has never been more necessary. The challenge is to rise to that necessity.

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Glossary

Asset Manager Capitalism
A configuration of corporate ownership in which a small number of large passive investment funds (e.g., BlackRock, Vanguard, State Street) hold dominant stakes across entire economies, with potential implications for corporate governance and macroeconomic policy.

Bretton Woods System
The international monetary order established in 1944, centred on fixed but adjustable exchange rates pegged to the US dollar, which was itself convertible into gold at $35 per ounce. The system collapsed in 1971 when President Nixon suspended dollar–gold convertibility.

Carbon Border Adjustment Mechanism (CBAM)
A trade-policy instrument, adopted by the European Union, that imposes a carbon price on imports from countries with less stringent climate regulation, intended to prevent "carbon leakage" and maintain the competitiveness of domestic producers subject to carbon pricing.

Comparative Advantage
The principle, associated with David Ricardo, that a country benefits from specialising in and exporting goods it can produce at relatively lower opportunity cost, even if it is absolutely less efficient in all production.

Constructivism
A theoretical approach in international relations and IPE holding that the identities, interests, and institutions of international life are socially constructed through ideational and normative processes rather than being materially given.

Coordinated Market Economy (CME)
In the Varieties of Capitalism framework, an economic system (e.g., Germany, Japan) in which firms rely on non-market institutions—employer associations, works councils, long-term bank finance—to coordinate economic activity.

Decoupling
The partial or complete separation of national or regional economies in sensitive sectors (e.g., semiconductors, telecommunications, AI), driven by geopolitical competition, supply-chain security concerns, or ideological divergence.

Dependency Theory
A body of scholarship, associated with Prebisch, Frank, and others, arguing that the integration of developing countries into the world economy systematically perpetuates underdevelopment through unequal exchange and the transfer of surplus to core economies.

Developmental State
A state that pursues deliberate industrial policy to promote economic transformation, typically combining selective protection, subsidised credit, export discipline, and close state–business coordination; associated empirically with East Asian late industrialisation.

Dollar Hegemony
The structural dominance of the US dollar as the world's primary reserve currency, vehicle currency, and invoicing currency, conferring on the United States an "exorbitant privilege" in international borrowing and substantial structural power over the global monetary system.

Embedded Liberalism
John Ruggie's concept describing the post-war international economic order as a compromise between multilateral market openness and domestic social protection, combining liberal trade with Keynesian welfare states.

Epistemic Community
A network of professionals with recognised expertise and authoritative claims to policy-relevant knowledge in a given domain, whose shared beliefs and norms influence international policy.

Financialisation
The increasing dominance of financial motives, financial markets, financial actors, and financial institutions in domestic and international economies, associated with rising inequality, short-termism in corporate governance, and systemic financial fragility.

Geoeconomics
The use of economic instruments—trade policy, investment restrictions, technology controls, financial sanctions—to pursue geopolitical objectives; sometimes described as the grammar of commerce applied to the logic of conflict.

Global Value Chain (GVC)
A production network in which different stages of the production of a good or service are located in different countries, coordinated by lead firms through a combination of market transactions and governance relationships.

Gramscian IPE
An approach drawing on the Marxist philosopher Antonio Gramsci's concepts of hegemony, historic bloc, and organic intellectuals, applied to the study of international economic order by Robert Cox and Stephen Gill. Hegemony in this framework requires not just material power but ideological consent.

Hegemonic Stability Theory (HST)
The proposition, associated with Kindleberger and Gilpin, that open and stable international economic orders require a hegemonic power willing and able to supply collective goods such as a reserve currency, last-resort lending, and open markets.

Impossible Trinity (Trilemma)
The proposition that a country cannot simultaneously maintain free capital mobility, a fixed exchange rate, and an autonomous monetary policy; it must sacrifice at least one of the three objectives.

Industrial Policy
Government intervention to promote particular industries or technologies, through subsidies, preferential credit, public procurement, trade protection, or regulatory support, with the aim of accelerating economic transformation or securing strategic capabilities.

Liberal Market Economy (LME)
In the Varieties of Capitalism framework, an economic system (e.g., the United States, United Kingdom) in which firms rely primarily on market mechanisms—arm's-length contracting, flexible labour markets, equity finance—to coordinate economic activity.

Mercantilism
A pre-classical economic doctrine emphasising the importance of a favourable balance of trade, the accumulation of monetary wealth, and active state management of trade in the national interest; revived in modern debates about strategic trade and industrial policy.

Neoliberalism
A body of economic ideas and associated policy programme emphasising price stability, fiscal discipline, deregulation, privatisation, trade and capital-account liberalisation, and scepticism toward state intervention in markets; dominant in international economic governance from the 1980s onward.

New International Economic Order (NIEO)
A set of proposals advanced by developing countries in the 1970s seeking to reform the international economic system in favour of the Global South, including commodity price stabilisation, greater technology transfer, and reform of international financial institutions.

Process Tracing
A within-case qualitative research method that seeks to identify the causal mechanisms linking an independent variable to an outcome by tracing the observable implications of a hypothesised causal process through historical evidence.

Relative Gains
The concern of states not just with their absolute level of welfare but with their economic and military position relative to potential rivals; associated with realist IPE and used to explain why states may forgo beneficial cooperation when they fear distributional asymmetries.

Regime (International)
In Krasner's influential definition, "sets of implicit or explicit principles, norms, rules, and decision-making procedures around which actors' expectations converge" in a given area of international relations.

Structural Adjustment Programme (SAP)
A package of economic policy conditions attached to IMF and World Bank loans to developing and transitional countries, typically requiring fiscal austerity, trade liberalisation, privatisation, and deregulation; widely criticised for their social costs.

Structural Power
Susan Strange's concept denoting the capacity to shape the frameworks—financial, productive, security, and knowledge structures—within which other actors must operate, as distinct from relational power (the ability to coerce specific actors in specific interactions).

Varieties of Capitalism (VoC)
A comparative political economy framework, associated with Hall and Soskice, that categorises advanced capitalist economies according to their dominant mode of inter-firm and firm–labour coordination, distinguishing primarily between liberal and coordinated market economies.

Washington Consensus
A term coined by John Williamson to describe the policy prescriptions for developing-country reform promoted by the IMF, World Bank, and US Treasury in the late 1980s and 1990s, centred on macroeconomic stabilisation, privatisation, and market liberalisation.

Weaponised Interdependence
Farrell and Newman's concept describing the exploitation by powerful states of the network structure of global economic and financial systems—particularly chokepoint nodes through which transactions must pass—to gather intelligence or impose coercive costs on rivals.

World-Systems Theory
A macro-sociological framework, associated with Immanuel Wallerstein and Giovanni Arrighi, analysing capitalism as a single world-system since the 16th century, structured around a hierarchical division between core, semi-peripheral, and peripheral zones of accumulation.

The End